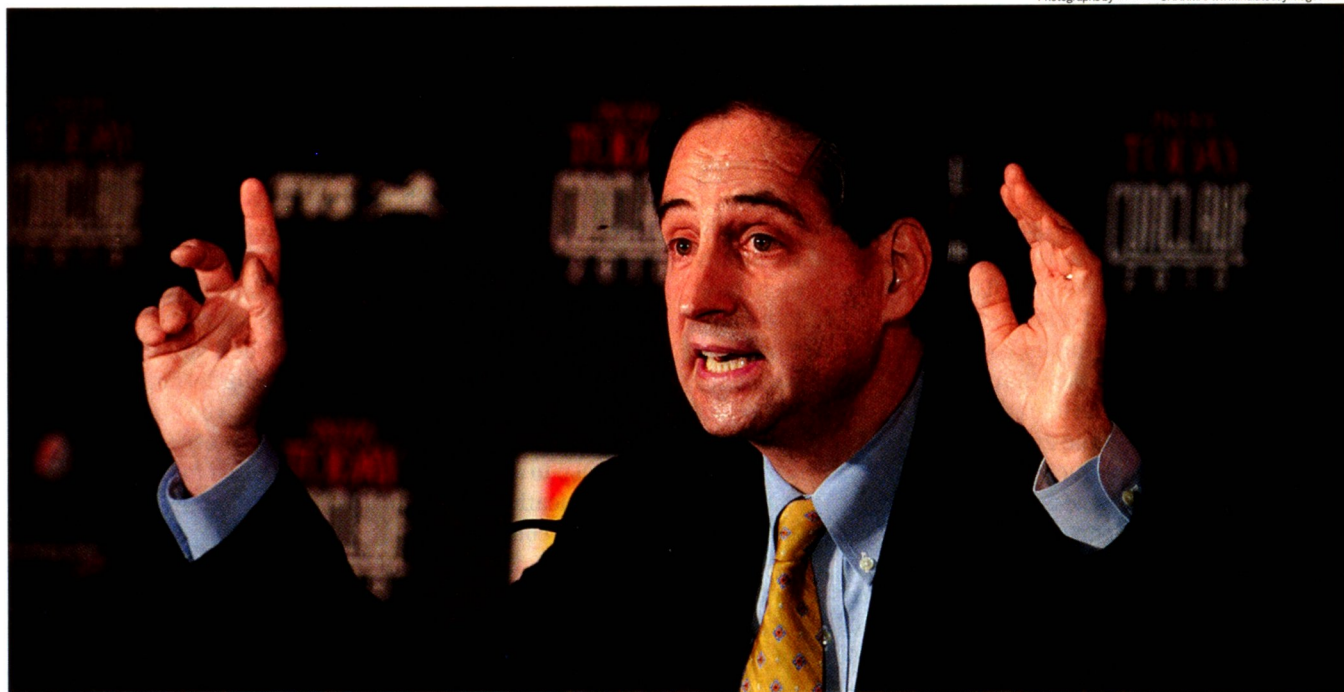


INDIA'S POPULATION: DIVIDEND OR DISASTER?

"India can benefit from the demographic transition"

DAVID BLOOM PROFESSOR OF ECONOMICS AND DEMOGRAPHY, HARVARD UNIVERSITY

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My focus is on India's population which has, in the past, been an albatross weighing down the Indian economy. India's demographic profile is now in flux and it is changing in a way that is quite favourable to economic growth. The right set of policies, however, can accelerate India's demographic transition and magnify its demographic dividend. Alternatively, India could experience a demographic disaster if the country falls prey to a number of pitfalls lying ahead. India's population is currently growing at a rate of 1.4 per cent per year. That is more than the 1.1 per cent rate for the world as a whole. When it comes to determination of income, there is a lot more to demographics than population growth. The age factor of the population is also very important. We need to understand something called demographic transition. This model is used to describe the change countries make from a regime of high fertility and high mortality to one of low fertility and low mor-

tality. But mortality declines and high mortality populations are mainly associated with declines in infant and child mortality typically linked to increased access to vaccines, antibiotics, safe water and sanitation. The iron law of demography tells us that baby boomers reach working age within a period of 15 to 25 years; and when that happens, the productive capacity of the economy expands on a per capita basis and a demographic dividend is in prospect.

The dividend is composite of four different forces. The swelling of the labour force; the change in workforce activity; the working age increases savings; and a further boost to savings that occurs as incentive to save for longer periods of time increases with greater longevity. Growth of the working-age share of the population does not automatically lead to economic growth but demographic change can lead the development process by enhancing the potential. You need the right sets of policies to catalyse and speed their demo-